

The role of trust and reputation in B2B marketplaces

Business buyers want the ease and convenience of consumer marketplaces, but with lower risks.

The online B2B experience is increasingly consumer-like, with many business buyers now expecting a flawless digital journey. But the stakes are much higher on B2B marketplaces than for consumer platforms, which means there's a huge emphasis on trust and reputation.

Getting this right can really pay off for B2B marketplaces. Business buyers are increasingly willing to make large purchases online, with McKinsey reporting that around 70% of decision makers are willing to spend up to US\$500,000 on a single online transaction. And a rapidly growing number of businesses say they're comfortable up to US\$10mn.

Building this level of trust and reputation takes time, but it also starts with the first click. A customer experience that's flexible, saves time and cuts risks will drive growth. Indeed, Bain's B2B Elements of Value show that ease of doing business is central to winning customer loyalty — even for large purchases.

BUILDING TRUST IN B2B MARKETPLACES

Trust is hard to win and easy to lose, especially in highly competitive sectors. Businesses tend to be loyal customers when everything is going smoothly, so it pays to invest in building and maintaining trust.

The basic elements of a trusted marketplace are simple:

- **Buyers and sellers are who they say they are**

Verification and authentication are the cornerstones of a trusted marketplace, allowing buyers and sellers to transact without worrying about vetting each other. Attracting established, reliable suppliers can also add credibility and instil confidence.

- **Payments arrive on time**
Fast, secure payments are essential. When sellers get paid upfront, they immediately start trusting the marketplace. That's why Hokodo guarantees marketplaces receive 100% of the payments they're owed, even if buyers are unable to pay us. This covers fraud, non-payment, clawbacks and insolvency.
- **Private data stays private**
Protecting sensitive business and customer data requires robust security measures. Strong data security practices aren't always visible to customers, but failures will be.
- **Highlight social proof**
Positive reviews, testimonials and success stories from existing customers help potential customers feel confident about engaging with the marketplace.

THE IMPACT OF TRUST ON CUSTOMER INTERACTIONS

When buyers and sellers trust each other, it fosters collaboration, reduces transaction costs, mitigates risks, and encourages loyalty and repeat business,

leading to mutual benefits and sustainable success for everyone.

Less risk

Most businesses are inherently risk averse. B2B transactions often involve large sums and long-term commitments, so trust reduces the perceived risks and encourages more transactions. Buyers are more willing to purchase from sellers they trust and sellers will go further to meet customer expectations when payment certainty is high.

Lower transaction costs

The cost of doing business is lower when buyers and sellers trust each other. A marketplace that inspires confidence means that buyers and sellers are comfortable committing to purchases with fewer checks. Marketplaces can command a share of these cost savings through premium pricing.

Enhanced collaboration

Trust encourages buyers and sellers to work together, encouraging them to share information, resources and expertise more freely. This can flow into smoother conflict resolution too.

A foundation of trust allows for more open communication and a willingness to find mutually beneficial solutions, which means that many problems can be resolved without the marketplace owner needing to get involved.

REPUTATION MANAGEMENT IN B2B MARKETPLACES

Trust is at the core of the relationship a marketplace

establishes with each customer, whereas reputation is the external perception of the business. As such, it is more difficult to manage and requires a consistent approach to business standards, customer service and communication.

Establishing a positive reputation

Transparent and ethical practices are what Bain calls “table stakes” in the B2B sector. It’s important that these are at the heart of a marketplace’s values.

Beyond that, marketplaces should aim to consistently and promptly address customer concerns, treating every interaction as an opportunity to establish a reputation for customer-focus and great communication.

How reputation drives success

Marketplaces are growing quickly and a strong reputation is often a key differentiator. In the US, more than 90% of sellers already conduct at least some of their business through marketplaces, but in Europe marketplaces are in a more nascent stage. That creates an opportunity to build reputation and capture market share.

Managing and leveraging online feedback

The consumerisation of B2B means that business customers are turning to social media, review sites and other forms of social proof to establish confidence in the way that consumers have done for years. Marketplaces are embracing this by sharing good reviews, customer testimonials and case

studies, while also closely monitoring online feedback and social media mentions to spot emerging problems and address them quickly.

Trust and reputation as competitive advantages

Amazon established its market position by starting out with a very clear focus on putting customers first. Similarly, B2B marketplaces can stand out from their competitors by prioritising trust and reputation.

Trust and reputation not only drive business growth, but also attract and help to retain talented staff — and a skilled workforce contributes to a marketplace’s competitiveness and ability to deliver exceptional customer experiences.